Heading payables

How would you hedge payables with money market hedge if interest rates are 8% in the us and 5% in Germany.

Money Market Hedge

→ Borrow in home country

→ Exchange currency at current spot rate

→ Deposit in foreign country

1) Borrow at 8% in US

Borrow $112,381.95

Payback = 112,381.95 · 1.08 = 121,371.43

2) Convert at spot $1.18/€

€95,238 · $1.18/€ =

= $112,381.95

already have

3) Deposit at 5%

→ you want to take out exactly what you need to pay for payables => €100,000

$$FV = €100000$$

$$PV = \frac{FV}{1+i} =$$

$$= \frac{€100,000}{1.05} =$$

$$= €95,238$$

Boros $112,381.95 and payback $121,371.43

Hedging receivables

A MNC will receive 200,000 francs in 6 months
The market conditions are as follows

interest rates in US and Switzerland on annual basis are 6% in both

$i_{US} = 6\%$ p.a., $i_{SUI} = 6\%$ p.a.

$S = \$0.70/SF$, $F = \$0.71/SF$

Options with $X = \$0.72/SF$

$C = \$0.03/SF$, $P = \$0.02/SF$

P_r	$E(S_t)$
30%	\$0.71/SF
40%	\$0.74/SF
30%	\$0.76/SF

→ sell SF in 6 month

Options: buy put option

Futures: sell futures contract

Money Market Hedge

1) Borrow SF abroad

2) Convert to USD at Spot

3) Deposit in US